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Founder and
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Indialinks Web Hosting
Pvt Ltd

We set up our online payment gateway primarily for our overseas customers, but of late, the Indian market has started adapting to this new method of payment. Today, about 25 per cent of our Indian clients use the online mode of payment.

Our gateway providers are Worldpay, ICICI and CCAvenue. With ICICI, the entire process is electronic, right up to the bank account credit stage, while the other gateway providers give us cheques after a week, or in some cases four weeks, since they hold back money as a security.

Our experience with our providers has been satisfactory—charge-backs (cancellations of purchases) have occurred only in about 2 per cent of all transactions. We have a verification process, especially for new clients, before we process orders.

I'd say the trend of using online payment gateways is on the rise.



ONLINE PAYMENTS:

What are the advantages associated with employing an online payment gateway? What about charges, charge-backs, fraud, and the Indian reaction? We asked five business heads about their needs and experiences. Here are their responses



Farid Khan
Chairman and CEO
IntelCorp Software (I)
Pvt Ltd

We provide a variety of e-commerce solutions, and our clientele is entirely outside of the country. Payment gateways have been the means for all our client transactions right since 1999.

We worked with Canada-based PaySystems for a long time, but have now moved to an Indian provider. There was concern as to how our customers would react on seeing a conversion to INR, but there seems to be increased acceptability.

By and large, our experience with the payment gateway method has been very good. Our transactions have brought us over \$200,000 (Rs 90 lakh) a month in turnover for a site that was selling phone cards in the Caribbean, and up to Rs 12 crore per year for our other e-commerce sites.

A major disadvantage is the extreme retail orientation that card companies such as Visa, MasterCard or American Express have. If a customer disowns a transaction, the entire onus of proving fraud is on the merchant. I have had charge-backs, and in some cases the goods have not been returned. There is no recourse to legal redress because the customer is offshore.

These are, however, stray cases. And such experiences have comprised perhaps 2 per cent of all our transactions.

The Indian customer has still not adapted to the online method of payment. Even when I personally purchase something from an e-commerce site, I still prefer the Cash on Delivery (COD) option! But I believe the card payment mode will pick up.